# Meta Platforms, Inc.

**META** NASDAQ

| Buy | $641.37 ▲ 5.12% | 12M Price Target $720.00 | 52-Week Range $520.26 – $779.82 | Market Cap $1.64T |
|---|---|---|---|---|

## META: Rips 5% as Tech Rotation Returns, AI Spend Debate Rages

### WHAT HAPPENED

- META ripped +5.1% today on huge volume — this looks like a relief rally after getting clobbered Nov 5th (-4%). Tech as a whole was up 3.7%, so this isn't a META-specific story — money is rushing BACK into megacap tech after last week's AI-bubble jitters (remember the Nvidia CEO/scandal headlines dragging sentiment).
- Instagram rolled out a major AI change for teen users — this matters because it's a preemptive move ahead of tightening child-safety regs. Meta is trying to get ahead of regulators rather than get steamrolled by them.

### WHY IT MATTERS

Today's bounce tells you the AI-spending panic from last week was overdone — but notice META is still only at 47% of its 52-week range, meaning it's closer to the lows than the highs. That's a tell: investors are nervous about the $100B+ CapEx (capital expenditure = money spent building data centers and buying Nvidia chips) and whether it'll ever earn a return. The options flow is screaming bullish (254K calls vs 144K puts — traders betting on upside), but the COO dumped nearly $720K of stock last week, which is the classic "insiders know the stock is fairly valued here" signal. Net-net: the setup is tactically bullish into year-end as rotation favors big tech, but the real question — "is Zuck burning shareholder cash on an AI mirage?" — won't get answered until 2027 earnings.

### POLICY & POLITICAL WATCH

The big one for META is the ongoing push in Congress around KOSA (Kids Online Safety Act) and state-level social media age-verification laws — today's Instagram AI change for teens is Meta trying to self-regulate before the government does it for them. Separately, the Trump admin's stance on AI has been pro-industry (loose guardrails, fast permitting for data centers), which is a tailwind for META's CapEx buildout — but watch for any Treasury/DOJ action on AI chip export controls, since that could crimp Nvidia supply and hurt META's buildout timeline. Also keep an eye on the EU Digital Markets Act fines — those are a persistent drag, not a cliff, but they chip away at European ad revenue.

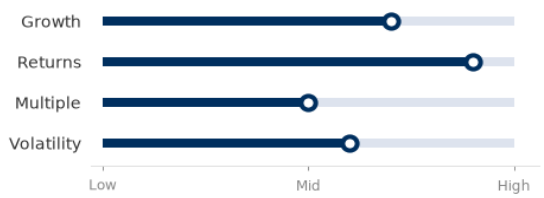
### IS IT EXPENSIVE?

At $641 and roughly 23x forward earnings, you're paying $23 for every $1 of profit META is expected to make next year — that's actually cheap for a company with 40%+ operating margins and dominant market share. Compare to the S&P at ~22x and GOOGL around 25x: META is trading at a discount to peers because the market is punishing the Reality Labs / AI CapEx burn. If you believe even half the AI spend generates a return, this is a bargain; if you think it's all vaporware, it's a value trap.

### Key Data

| | |
|---|---|
| Price (USD) | **$641.37** |
| 12M Price Target | **$720.00** |
| Upside / (Downside) | **+12.3%** |
| Market Cap | **$1.64T** |
| FY2026E Revenue | **$193M** |
| FY2027E Revenue | **$220M** |
| FY2026E EPS | **$27.50** |
| FY2027E EPS | **$31.00** |
| Fwd P/E | **23.3x** |

### INVESTMENT PROFILE




### 12-MONTH PRICE PERFORMANCE VS. S&P; 500






This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

**META** — Meta Platforms, Inc. | November 09, 2026

## PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|---|---|---|---|
| 1 Month | **$690.00** | $655.00 | **$590.00** |
| 6 Months | **$760.00** | $700.00 | **$560.00** |
| 1 Year | **$820.00** | $720.00 | **$540.00** |
| 2 Years | **$950.00** | $800.00 | **$500.00** |
| 5 Years | **$1400.00** | $1000.00 | **$450.00** |
| 10 Years | **$2200.00** | $1500.00 | **$400.00** |

## WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Tech (+3.7%) and Communication Services (+2.5%, +7% over 5 days) — money flooding back after last week's AI panic. Industrials (+3.8%) also ripping on infrastructure/defense spending optimism.

**COOLING OFF:** Nothing was red today, but Tech and Materials are both down over 5 days — showing last week's risk-off was broad.

**ROTATION WATCH:** Classic "buy-the-dip in megacap AI" day. Comm Services up 7% in a week with no obvious news tells you institutional money is re-entering the megacap trade ahead of year-end.

**RELATED PLAY:** If you believe the AI CapEx story holds, the picks-and-shovels names (data center REITs like EQIX, power utilities serving data centers like VST or CEG) benefit more directly than META itself.

## WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Benefiting from same ad-rebound + AI narrative, with less CapEx anxiety than META.
- MSFT (Microsoft): The "safest" AI name — enterprise software moat makes the AI spend easier to justify.

**META CONTEXT:** META is lagging its mega-cap peers YTD because of the Reality Labs overhang and the perception that Zuck has no spending discipline. The good news: that means expectations are lower, so any positive surprise moves the stock more than it would move GOOGL or MSFT.

## WHAT I'D DO WITH THIS STOCK

### 7/10 Conviction Score

**CONVICTION:** 7/10 — core long-term holding, but I'm not pounding the table at $641 after a 5% pop. The setup is "buy pullbacks, don't chase."

**POSITION SIZE:** 4-6% of portfolio. Big enough to matter, small enough that the CapEx blow-up risk doesn't ruin your year.

**ENTRY POINTS:** $600-620 on any macro fear day. The stock traded there twice in the last week — it'll get there again.

**TIME HORIZON:** 12-24 months. The catalyst I'm waiting for is Q4 earnings (late Jan) — specifically the 2027 CapEx guide and any commentary on AI monetization.

WHEN TO BAIL: Ad revenue growth drops below 10%, or 2027 CapEx guide comes in above $150B with no revenue visibility. Also: if Zuck starts talking about the metaverse again on earnings calls, that's your signal to trim.

**HEDGING:** Easiest way is to pair with a long GOOGL position — if the ad market rolls over, both drop but you diversify away the META-specific execution risk. For a cleaner hedge, buy a put spread (pay a small premium for insurance against a 10%+ drop).




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